

7-1e Exchange Rate Policies

There are two major exchange rate policies:

(1) floating rate and

(2) fixed rate.

Governments adopting the

floating (or flexible) exchange rate policy (A government policy to let supply-and-demand conditions determine exchange rates.)

tend to be free market believers, willing to let the demand-and-supply conditions determine exchange rates—usually on a daily basis via the foreign exchange market. However, few countries adopt a

clean (or free) float (A pure market solution to determine exchange rates.) , which would be a pure market solution. Most countries practice a

dirty (or managed) float (Using selective government intervention to determine exchange rates.)

, with selective government interventions. Of the major currencies, the US, Canadian, and Australian dollars, the yen, and the pound have been under managed float since the 1970s (after the collapse of the Bretton Woods system—see [Investor Psychology](#)). Since the 1990s, several emerging economies, such as Brazil, Mexico, and South Korea, have also joined the managed float regime. Despite complaints from the US government, China currently does *not* fix its currency. Since 2005, China has been allowing the yuan to float—from 8.3 yuan to the dollar in 2005 to 6.14 yuan to the dollar in 2014 (a 26% appreciation).

The severity of intervention is a matter of degree. Heavier intervention moves the country closer to a

fixed exchange rate policy (A government policy to set the exchange rate of a currency relative to other currencies.)

, and less intervention enables a country to approach the free float ideal. The main objective for intervention is to prevent the emergence of erratic fluctuations that may trigger macroeconomic turbulence. Some countries do not adhere to any particular rates. Others choose

target exchange rates (Specified upper or lower bounds within which an exchange rate is allowed to fluctuate.)

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or more vividly “snake in a tube” (intervention will only occur when the “snake” crawls out of a tube’s upper or lower bounds).

Another major exchange rate policy is the fixed exchange rate policy—countries fix the exchange rate of their currencies relative to other currencies. Both political and economic rationales may be at play. During the German reunification in 1990, the West German government, for political considerations, fixed the exchange rate between West and East German mark as 1:1. Economically, the East German mark was not worth that much. Politically, this exchange rate reduced the feeling of alienation and resentment among East Germans, thus facilitating a smoother unification process. Of course, West Germans ended up paying more for the costs of unification.

Economically, many developing countries peg their currencies to a key currency (often the US dollar). There are two benefits for a peg policy. First, a [peg \(A stabilizing policy of linking a developing country's currency to a key currency.\)](#) stabilizes the import and export prices for developing countries. Second, many countries with high inflation have pegged their currencies to the dollar in order to restrain domestic inflation. (See [Debates and Extensions](#) for more discussion.)

Chapter 7: Dealing with Foreign Exchange: 7-1e Exchange Rate Policies

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Printed By: Mike Benton (mbento6@wgu.edu)

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